

Customer Churn Analysis - Executive Insights

Insights

- Churn Rate: 28.6% | Retention Rate: 71.4%
- Most of the churn is from basic subscription plan – nothing to worry in terms of major revenue impact
- Most of the churn happened in the month of Sep 2024 and, most affected state is Karnataka
- Average Tenure (Days): 1,451 | ARPU is Rs 18.8
- Total Revenue = 395 • Revenue loss due to churn = 74 | CLTV Lost = 2,047 • % Revenue loss = 18%
- monthly vs annual churn = 55.6% vs 8.3%

Action Items

- Check what happened in Karnataka – was there any increase in price, user complaints, tech issues, etc
- Did we increased subs price for Basic plan or recently made any changes – specially in sep month?
- Check what competitor is doing – bcoz one user has moved to competitor
- Focus on customers with 'High' & 'Med' churn risk, check their LTV (to make priority list), complaint request, reach out to them through email, sms, calls and fix their issue.

Calculated metrics

KPI	Formula
churn rate	churned customer / total customers
Churn by plan type	churn rate GROUP BY plan_type (Basic/Standard/Premium)
Churn by state	churn rate GROUP BY country, state
Retention rate	1-churn rate
ARPU	SUM(monthly_charges) / COUNT(active customerid)
Average customer tenure	AVG(DATEDIFF(cancellation_date OR NOW(), subscription_start_date))
Revenue at risk	SUM(monthly_charges) WHERE churn_score > 70
Escalation rate	SUM(escalations) / COUNT(complaints) × 100
Avg complaints per customer	COUNT(complaints) / COUNT(DISTINCT customerid)
Correlation: escalations → churn	churn rate WHERE escalations ≥ 1 vs 0

Churn Definition by Business



Churn analysis is the process of figuring out why customers stop doing business with you.

For this, we only need to look at three things:

- **"Who"**: Identifying which customers left or will leave in future
- **"Why"**: Analyzing their behavior before they left.
- **"When"**: Finding the "danger zone" – point when a user leave

Business Type	Churn Definition
SaaS	Subscription canceled
E-commerce	No purchase in 90 days
Adtech	Using service/app in 90 – 120 days
Streaming	Membership inactive
Telecom	Account terminated
Banking	No transactions for X months

Database Tables



Database:customer_churn

db_customer
customerid
name
country
State
gender
dob
interests
pincode

db_subscription
customerid
subscription_start_date
subscription_type
renewal_date
plan_type
contract_type
cancellation_date
cancellation_reason
monthly_charges
cltv
churn_score

db_support
customerid
complaint_date
Escalations
csat_score
col_1
comment